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Question #4: Greek people, as debtors, considers that they have been penalized during the crisis. Which are their reasons? Are they valid?

The Greek debt crisis emerged after an economic boom began during the 1990s, when Greece borrowed heavily from European banks to finance imports from across the European Union and finance domestic spending. Although Greece agreed to the Stability and Growth Pact, meant to enforce fiscal discipline and control borrowing, they continued to accumulate debt with little consequence. The adoption of the Euro in 2001 further fueled this borrowing as interest rates on Greek bonds remained low and unemployment stayed high, allowing the government to fund wage hikes, pensions, and expansive public services that appealed to the overall Greek population. When the global financial crisis of 2008 hit, investor confidence collapsed and the bond market lost confidence in Greece. Forced to seek bailouts from the IMF and other eurozone partners, Greece entered a decade-long period of austerity meant to restore stability and reduce their budget deficit. Many individual Greek citizens were left feeling unjustly punished, suffering skyrocketing unemployment rates, wage cuts, and a loss of sovereignty from a crisis their government got them into due to their reckless spending. The resentment of the Greek citizens is understandable on humanitarian grounds, but the Greek state's prior fiscal irresponsibility warranted punishment for their out-of-control spending to uphold fiscal credibility throughout the European Union and prevent a complete economic collapse.

The Greek people feel strong resentment to their financial austerity because of the incompetence of the government that led them. Before the 2009 crisis, the Greek economy was filled with bribery and corruption and buoyed by weak institutions not fit to be a part of the European Union. Since the measures being pushed forward were expansions of the public sector such as an increase in public expenditures and privileges for public employees, the citizens at the time did not put up a fight. However, retrospectively, the Greek citizens see their government ridden with charges for tax evasion and their negative trade balance and blame it on the government at the time. The 2010 adjustment program brought in the first series of structural reforms through the Memorandum of Understanding, including cutting 30 billion Euros of fiscal cuts, cutting public employee wages between 15-30%, and laying off 150,000 civil servants. The same public spending that caused Greek citizens to turn a blind eye to their corrupted government now negatively impacted their daily lives and caused an outcry. The 2010 package also came with the introduction of the Troika, which consisted of the IMF, the European Commission, and the ECB to monitor the Greek adherence to the structural reforms and approve the release of each distribution. This heavy foreign involvement also upset the Greek citizens, who felt that the Troika having such heavy-handed interference in their economy stepped on their national sovereignty and they would be better off just exiting the Euro. This emotion was justified, as the burden of the austerity fell mostly upon ordinary workers and retirees rather than on the political and financial elites responsible for the mismanagement.

The country as a whole deserved punishment for their out-of-control spending and there was no other way to handle this than to provide some form of consequence. Fiscal irresponsibility before the crisis undermined the credibility of Greece and the Eurozone overall. Without clear penalties, it would set a dangerous precedent to disregard fiscal rules, threatening the integrity of the common currency. Additionally, stronger countries like Germany and France were particularly in favor of imposing strong restrictions upon Greece as they felt they were carrying the brunt of the financial burden of Greece. Without clear penalties, other countries would have lost faith in the fiscal rules of the Eurozone, threatening the integrity of the common currency. Although the austerity measures were painful for the people of Greece and inevitably unpopular, they were necessary to create a precedent and emphasize strength to the broader Eurozone.

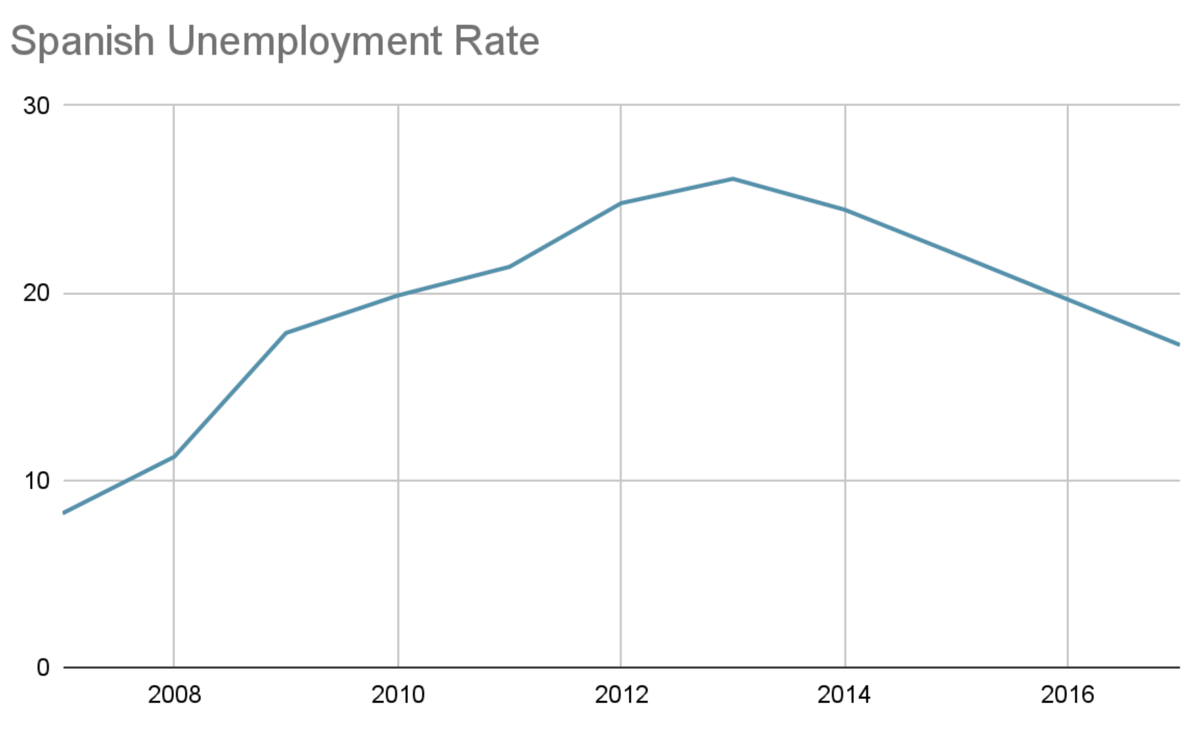
Although this decade of austerity held up the fiscal credibility of the European Union, the externally imposed reforms and economic hardship led many Greeks to view the European Union as an enforcer of suffering. This disillusionment paved the way for populist movements like Syriza, which used this anti-austerity sentiment to gain voters, promising to renegotiate bailout terms for more debt relief and less fiscal restraint. Although these promises became empty and even with the election of Tsipras in 2015, the government had to make concessions to the EU proving the limited economic leverage of Greece, the political reaction pointed to the erosion of public faith in domestic governance and European solidarity. The concessions like accepting the term Macedonia left the Greek people feeling a loss of national sovereignty alongside economic independence. The crisis left behind not only economic scars but also a polarized society, leaving those who blamed European institutions overall and those who blamed decades of internal mismanagement from the Greek government. In the end, the Greek case demonstrated how economic punishment, however justified, can provoke lasting political consequences that continue to shape the country's relationship with Europe.

Question #5: Why is Spain a success case?

During the global housing boom, Spain was right on par with the rest of the world. From 1996 to 2005 over 6.5 million new homes were built and construction employment reached 14% of total employment in 2007. However, when the global financial crisis began in 2008, Spain's bubble burst and their excessive bank lending, government policy failures, and market speculation caused a crisis to erupt. Housing prices fell, and previous buyers began to default on their home purchase loans. In 2012, Eurogroup approved a 100bn Euro loan for the recapitalization of Spanish financial institutions, and the Spanish government handled this kickstart of recovery with strong intentions for fiscal consolidation and structural reforms. The Spanish government's implementation of strict reforms, including public spending cuts, helped regain their competitiveness with exports and recover from the burst of their housing bubble and debt capitalization.

After the initial onset of the crisis, the Spanish government introduced heavy labor reforms to comply with the Memorandum of Understanding and increase labor productivity, boosting the economy. Signed in 2012, these reforms targeted a boost in Spanish productivity in the face of their financial crisis and the stabilization of financial markets. The labor reforms introduced higher internal flexibility, prioritizing collective bargaining agreements at the firm level over those at the sectorial or regional level. This caused severe wage moderation, impacting the daily lives of the workers, but contributed to safe jobs and stability within the job market. The labor reform also gave firms incentives to hire permanent workers and promote greater convergence of employer's costs of termination. They provided a tax credit for employers who hired open-ended contracts without firing. These reforms allowed forms to adjust wages instead of firing workers, helping to slightly decrease a high unemployment rate and reduce overall job losses.

Spanish Unemployment Rate: Source - Global Macrotrends[1]



As demonstrated above, although the unemployment rates spiked in the short term, the 2012 reforms helped to push the unemployment rate down in the longer-term and increase the stability of jobs throughout Spain. Although unpopular due to the short-term unemployment

[1] https://www.macrotrends.net/global-metrics/countries/esp/spain/unemployment-rate

increase and lessened wages of Spanish citizens, these reforms prevented Spain from needing a full sovereign bailout and laid the groundwork for sustainable growth.

Spain also targeted reforms in their fiscal structure and a push on exports to recover their economy outwardly, shrinking their deficit and rebalancing their current account. The lower labor costs helped Spanish goods become cheaper abroad, contributing to the boost in exports. Many companies within Spain shifted towards export-oriented production, particularly emphasizing automotive, machinery, agricultural, and pharmaceutical exports. Companies like Renault, General Motors, and Volkswagen upgraded their plants in Spain which influenced the boost in foreign exports and shifted locations from countries like Belgium and Korea. Additionally, productivity gains associated with new investment in technology and infrastructure and education allowed exports to expand even as domestic demand remained weak. Educational authority was re-centralized to the Spanish government to help strengthen the quality of education and keep students in school while upgrading performance. The results of these efforts are demonstrated in the chart below, showing the massive increase in exports from the crash in 2009, where they were only 159.9bn Euros, to 2017, when they were 277.1bn Euros. Not only did the raw number continue to increase, but exports as a percentage of GDP continued to increase, rising from a low of 15.2% in 2009 to 23.8% in 2017. The trade deficit was also reduced, shown in the coverage column below. Although they still import more than they export in 2019, there is a large increase from pre-crash numbers of 64.7% and 66.8%, when the economy was heavily dependent on domestic real estate, to 91.6% in 2019.

Change in Exports: Source - Ministry of Economy and Competitiveness[2]

	Exports (bn Euros)	% of GDP	Coverage (%)[3]
2007	185.0	17.6	64.7
2008	189.2	17.3	66.8
2009	159.9	15.2	77.6
2010	186.8	17.7	77.8
2011	215.2	20.2	81.8
2012	226.1	21.5	87.7
2013	235.8	22.8	93.4
2014	240.6	22.9	90.6

[2] Ministry of Economy and Competitiveness, https://www.realinstitutoelcano.org/en/commentaries/spains-continuing-export-boom/

[3] Exports as a percentage of imports

2015	249.8	23.3	90.9
2016	256.5	22.8	93.6
2017	277.1	23.8	91.6

Overall, the labor reforms and strong push to increase exports helped Spain improve competitiveness within the Eurozone and gradually push unemployment downwards, increasing investor confidence and inevitably becoming one of the fastest growing countries in the Eurozone between 2014-2017.

Spain's overall recovery after the 2008 global financial crisis stands as a clear example of using structural reform and fiscal discipline to restore stability within a monetary union. Through social spending cuts, labor reforms, and a drive to increase exports, the country regained market confidence and returned to steady growth. However, the political and social costs of the economic resurgence is not to be looked past. In the short term, unemployment increased, and it still remains significantly higher than the Eurozone average, at 10.45% in Q3 2025 when the Eurozone average is 6.3%. Additionally, the rise of the "Podemos" party showed the vulnerability of the Spanish citizens to a left-wing, anti-austerity party focused on removing Troika influence from Spain and reflecting public disillusionment with the costs of reform.